POOLED INTEREST - TYPE OF MUTUAL FUNDS

Learning Outcome

- describe mutual funds and compare them with other pooled investment products

The following section introduces the major types of mutual funds differentiated by the asset type that they invest in: money market funds, bond mutual funds, stock mutual funds, and hybrid or balanced funds.

Money Market Funds

Money market funds are mutual funds that invest in short-term money market instruments such as treasury bills, certificates of deposit, and commercial paper. They aim to provide security of principal, high levels of liquidity, and returns in line with money market rates. Many funds operate on a constant net asset value (CNAV) basis where the share price is maintained at $1 (or local currency equivalent). Others operate on a variable net asset value (VNAV) basis where the unit price can vary. In the United States, there are two basic types of money market funds: taxable and tax-free. Taxable money market funds invest in high-quality, short-term corporate debt and federal government debt. Tax-free money market funds invest in short-term state and local government debt. Although money market funds have been a substitute for bank savings accounts since the early 1980s, they are not insured in the same way as bank deposits.

Bond Mutual Funds

A bond mutual fund is an investment fund consisting of a portfolio of individual bonds and, occasionally, preferred shares. The net asset value of the fund is the sum of the value of each bond in the portfolio divided by the number of shares. Investors in the mutual fund hold shares, which account for their pro-rata share or interest in the portfolio. The major difference between a bond mutual fund and a money market fund is the maturity of the underlying assets. In a money market fund the maturity is as short as overnight and rarely longer than 90 days. A bond mutual fund, however, holds bonds with maturities as short as one year and as long as 30 years (or more). Exhibit 22 illustrates the general categories of bond mutual funds.[16]

Exhibit 22: Bond Mutual Funds

Type of Bond Mutual Fund	Securities Held
Global	Domestic and non-domestic government, corporate, and securitized debt
Government	Government bonds and other government-affiliated bonds
Corporate	Corporate debt
High yield	Below investment-grade corporate debt
Inflation protected	Inflation-protected government debt
National tax-free bonds	National tax-free bonds (e.g., US municipal bonds)

Stock Mutual Funds

Historically, the largest types of mutual funds based on market value of assets under management are stock (equity) funds.

There are two types of stock mutual funds. The first is an actively managed fund in which the portfolio manager seeks outstanding performance through the selection of the

the Vanguard Group.

There are several major differences between actively managed funds and index funds. First, management fees for actively managed funds are higher than for index funds. The higher fees for actively managed funds reflect its goal to outperform an index, whereas the index fund simply aims to match the return on the index. Higher fees are required to pay for the research conducted to actively select securities. A second difference is that the level of trading in an actively managed fund is much higher than in an index fund, which depending on the jurisdiction, has tax implications. Mutual funds are often required to distribute all income and capital gains realized in the portfolio, so the actively managed fund tends to have more opportunity to realize capital gains. This results in higher taxes relative to an index fund, which uses a buy-and-hold strategy. Consequently, there is less buying and selling in an index fund and less likelihood of realizing capital gains distributions.

Hybrid/Balanced Funds

Hybrid or balanced funds are mutual funds that invest in both bonds and stocks. These types of funds represent a small fraction of the total investment in US mutual funds but are more common in Europe. These types of funds, however, have gained popularity with the growth of lifecycle funds. Lifecycle or Target Date funds manage the asset mix based on a desired retirement date. For example, if an investor is 40 years old in 2019 and planned to retire at the age of 67, he could invest in a mutual fund with a target date of 2046 and the fund would manage the appropriate asset mix over the next 27 years. In 2019 it might be 90 percent invested in shares and 10 percent in bonds. As time passes, however, the fund would gradually change the mix of shares and bonds to reflect the appropriate mix given the time to retirement.

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